

continued to hold Case Management Conferences during the appeal, but did nothing of substance, other than to appoint a Guardian ad Litem for the plaintiff

The Court of Appeal affirmed, and remittitur was issued July 17, 2025 (according to the Court of Appeal docket).

Defendant filed the pending motion July 28, 2025.

On October 13, 2025, plaintiff filed a First Amended Complaint.

Although plaintiff did not file an amended complaint by the initial August 7, 2023 deadline, she had filed an appeal on July 27, 2023, which had the effect of staying the proceeding immediately. (CCP § 916.) The Court's subsequent order of August 22, 2024, in which it "refrain[ed] from proceeding at this time" simply confirmed the existence of the stay.

Plaintiff's reliance on *Gilmed v. General Motors Corp* (1994) 26 Cal.App.4th 824, is misplaced, because in that case the plaintiff had already filed an amended complaint before the motion to dismiss was filed.

When the Court of Appeal issued its remittitur, the deadline to file an amended complaint was not clear. The originally specified date had long since passed. Arguably, this means that the "ten day" rule of CRC 3.1320(g) (which applies where the order does not specify time to amend) applied. Defendant filed this motion on the eleventh day after the remittitur was issued.

The decision to grant or deny a party's motion to dismiss is within the judge's discretion. (*Nuno v. California State Univ., Bakersfield* (2020) 47 Cal.App.5th 799, 807. Based on the long period during which the appeal was pending, and the fact that defendant filed this motion on the eleventh day after the remittitur, the Court exercises its discretion to deny the motion. Defendant has 30 days to file a pleading in response to the First Amended Complaint.

3. 9:00 AM CASE NUMBER: C23-02106
CASE NAME: SANTIAGO MORALES VS. DWELLEY FAMILY FARMS, LLC

***HEARING ON MOTION IN RE: PRELIMINARY APPROVAL**

FILED BY: MORALES, SANTIAGO MERINO

TENTATIVE RULING:

Plaintiff Santiago Merino Morales moves for preliminary approval of his class action and PAGA settlement with defendant Dwelley Family Farms, LLC.

A. Background and Settlement Terms

The original complaint was filed by Plaintiff on August 23, 2023, raising class action claims on behalf of non-exempt employees, alleging that defendant violated the Labor Code in various ways, including failure to pay minimum and overtime wages, failure to provide meal breaks, failure to provide proper wage statements, failure to reimburse necessary business expenses, and failure to pay all wages due on separation. A First Amended Complaint adding PAGA claims (based on a notice to the LWDA given on August 23, 2023), was filed on October 26, 2023. A Second amended Complaint was filed on

March 21, 2024, and remains the operative complaint.

The settlement would create a gross settlement fund of \$321,860. The class representative payment to plaintiff would be \$7,500. Attorney's fees would be \$107,286.67 (one-third of the settlement). Litigation costs would not exceed \$20,000. The settlement administrator's costs would be up to \$10,000. PAGA penalties would be \$15,000, resulting in a payment of \$11,250 to the LWDA and \$3,750 to the aggrieved employees. The net amount paid directly to the class members would be about \$162,073.33. The fund is non-reversionary. Based on the estimated class size of 388, the average net payment for each class member is approximately \$417.

The proposed settlement would certify a class of all current and former non-exempt employees employed by Defendant during the class period.

The class members will not be required to file a claim. Class members may object or opt out of the settlement. (Aggrieved employees cannot opt out of the PAGA portion of the settlement.) Funds would be apportioned to class members based on the number of workweeks worked during the class period.

Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable.

The proposed settlement provides that checks undelivered or uncashed 180 days after mailing will be voided, and the funds will be provided to the State Controller's Unclaimed Property Fund. (The moving parties identify the Justice Gap Fund of the State Bar as a cy pres recipient "in the event the Court requires the Parties to identify a cy pres recipient of uncashed checks[.]" The Court does not so require.)

The settlement contains release language covering all "those claims arising out of or related to the allegations set forth in the operative complaint[.]" (Settlement, Par. 1.34.) Under recent appellate authority, the limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ["A court cannot release claims that are outside the scope of the allegations of the complaint." "Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint' is impermissible." (*Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Informal written discovery was undertaken, and a data expert was retained for mediation. The matter settled after arms-length negotiations, which included a session with an experienced mediator.

Counsel attest that they have analyzed the value of the case, and that the result achieved in this litigation is fair, adequate, and reasonable. The moving papers include an estimate of the potential value of the case, broken down by each type of claim.

The potential liability needs to be adjusted for various evidence and risk-based contingencies, including problems of proof. PAGA penalties are difficult to evaluate for a number of reasons: they derive from other violations, they include "stacking" of violations, the law may only allow application of the "initial violation" penalty amount, and the total amount may be reduced in the discretion of the court. (See Labor Code, § 2699(e)(2) [PAGA penalties may be reduced where "based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary

and oppressive, or confiscatory.”])

Counsel attest that notice of the proposed settlement was transmitted to the LWDA concurrently with the filing of the motion.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is “fair, reasonable, and adequate,” under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including “the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement.” (See also *Amaro v. Anaheim Arena Mgmt., LLC*, *supra*, 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. Recently, the Court of Appeal’s decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the “fair, reasonable, and adequate” standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess “the fairness of the settlement’s allocation of civil penalties between the affected aggrieved employees[.]” (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. Attorney fees

Plaintiff seeks one-third of the total settlement amount as fees, relying on the “common fund” theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.) Following typical practice, however, the fee award will not be considered at this time, but only as part of final approval. Counsel are directed to prepare a lodestar fee estimate for the motion for final approval.

The reasonableness of litigation costs and the settlement administrator's fees will be considered at final approval.

Similarly, the requested representative payment of \$7,500 for plaintiff will be reviewed at time of final approval. Criteria for evaluation of representative payment requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

D. Conclusion

The Court finds that the agreement is sufficiently fair, reasonable, and adequate, to justify preliminary approval, and grants the motion.

Counsel are directed to prepare an order reflecting this tentative ruling, the other findings in the previously submitted proposed order, and to obtain a hearing date for the motion for final approval from the Department clerk. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

4. 9:00 AM CASE NUMBER: C23-02194
CASE NAME: STEPHANIE SENNA VS. DOES 1 THROUGH 10, INCLUSIVE
***HEARING ON MOTION IN RE: FOR PRELIMINARY APPROVAL OF CLASS ACTION AND PAGA SETTLEMENT (CONTINUED FROM 10.30.2025)**
FILED BY:
TENTATIVE RULING:
Appearance required, pending submission of signed agreement.

5. 9:00 AM CASE NUMBER: C24-00695
CASE NAME: JULIUN SKALIN VS. ENCHANT CHRISTMAS, LLC
***HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL**
FILED BY:
TENTATIVE RULING:

The motion is **granted**. Counsel is directed to serve the order relieving counsel in compliance with CRC 3.1362(d). **Counsel is not formally relieved until the order is served on the client and proof of service is filed with the court.**

6. 9:00 AM CASE NUMBER: C24-01590
CASE NAME: TIMOTHY CLANCY VS. ANTHONY JURADO
***HEARING ON MOTION IN RE: AN ORDER DESIGNATING CASE COMPLEX**
FILED BY: JURADO, ANTHONY
TENTATIVE RULING: